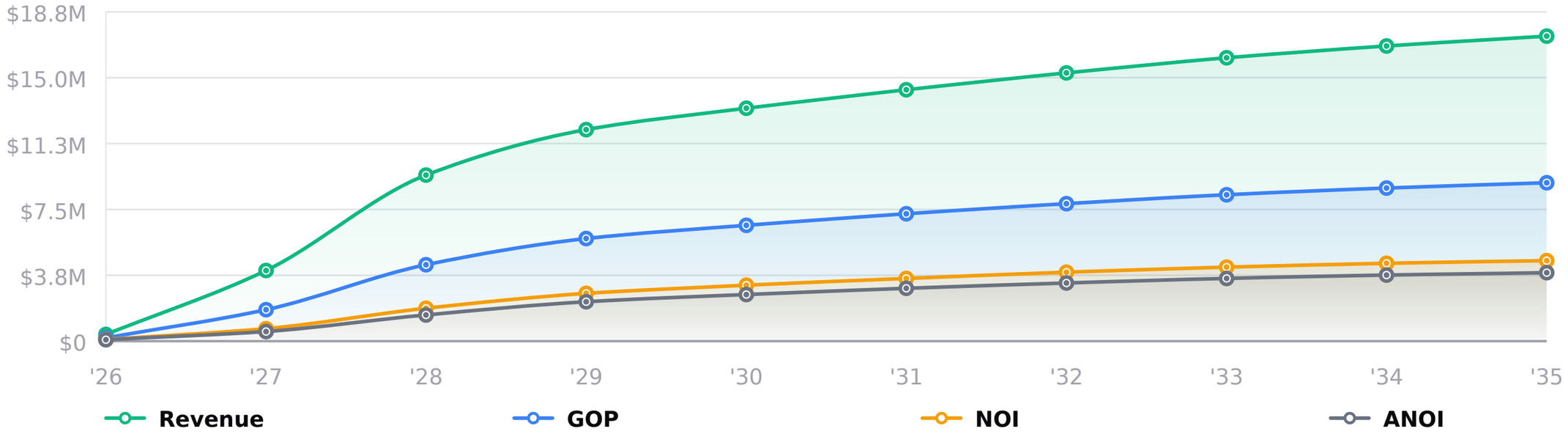
Consolidated Income Statement

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Operational Metrics										
Total Revenue	412,970	4,367,250	10,247,879	13,047,702	14,367,456	15,508,922	16,546,417	17,478,179	18,206,504	18,812,028
Departmental Expenses	108,397	1,202,533	2,845,559	3,613,954	3,974,579	4,282,544	4,563,650	4,816,707	5,015,619	5,182,143
Undistributed Operating Expenses	100,453	1,225,383	2,691,982	3,107,792	3,243,654	3,372,185	3,499,320	3,624,273	3,742,250	3,857,285
Gross Operating Profit (GOP)	204,120	1,939,334	4,710,338	6,325,955	7,149,222	7,854,193	8,483,448	9,037,199	9,448,635	9,772,600
Management Fees	88,505	909,644	2,153,662	2,781,508	3,084,862	3,346,386	3,582,708	3,793,582	3,955,844	4,088,576
Adjusted Gross Operating Profit (AGOP)	115,615	1,029,690	2,556,676	3,544,447	4,064,360	4,507,807	4,900,740	5,243,617	5,492,791	5,684,024
Fixed Charges	8,533	255,314	524,849	594,761	612,604	630,982	649,911	669,409	689,491	710,176
Net Operating Income (NOI)	107,082	774,376	2,031,827	2,949,686	3,451,756	3,876,825	4,250,828	4,574,209	4,803,300	4,973,848
FF&E Reserve	16,519	174,690	409,915	521,908	574,698	620,357	661,857	699,127	728,260	752,481
Adjusted NOI (ANOI)	90,563	599,686	1,621,912	2,427,778	2,877,058	3,256,468	3,588,972	3,875,082	4,075,040	4,221,367
Debt Service	–	227,583	667,915	821,219	1,770,533	1,962,212	1,962,212	1,962,212	1,962,212	1,962,212
Net Income	(5,885)	(360)	361,267	983,703	627,426	819,541	1,071,546	1,296,874	1,475,966	1,620,580

Consolidated Income Statement — Trends

L+B Hospitality Management — Consolidated Portfolio



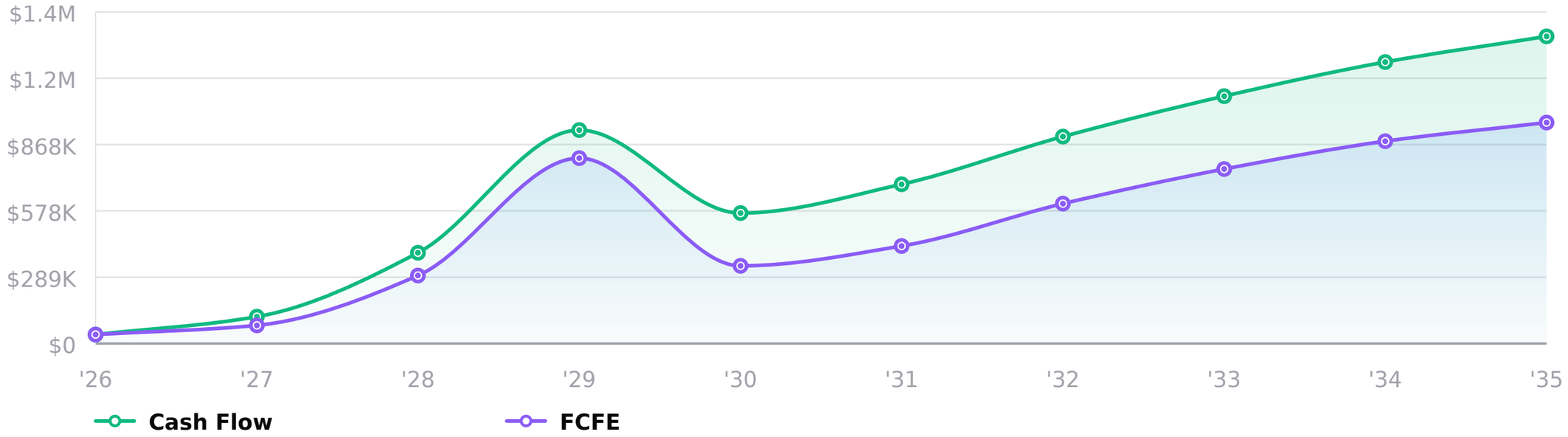
Consolidated Cash Flow

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Cash Flow from Operations (CFO)	**58,860**	**300,921**	**837,677**	**1,527,880**	**1,189,343**	**1,370,650**	**1,636,750**	**1,864,175**	**2,054,385**	**2,198,505**
Adjusted NOI (ANOI)	107,082	774,376	2,031,827	2,949,686	3,451,756	3,876,825	4,250,828	4,574,209	4,803,300	4,973,848
Less: Interest Expense	–	(187,203)	(560,051)	(688,580)	(1,522,351)	(1,670,980)	(1,645,898)	(1,618,620)	(1,588,952)	(1,556,683)
Less: Principal Payments	–	(40,380)	(107,864)	(132,639)	(248,181)	(291,232)	(316,315)	(343,592)	(373,260)	(405,529)
Less: Income Tax	(4,932)	(33,571)	(108,231)	(163,131)	(134,917)	(173,583)	(279,164)	(367,224)	(417,758)	(451,741)
Cash Flow from Investing (CFI)	**11,650,000**	**4,700,000**	**1,950,000**	**–**	**–**	**–**	**–**	**–**	**–**	**35,367,477**
Capital Expenditures (FF&E)	11,650,000	4,700,000	1,950,000	–	–	–	–	–	–	–
Exit Proceeds (Net Sale Value)	–	–	–	–	–	–	–	–	–	35,367,477
Cash Flow from Financing (CFF)	**–**	**(40,380)**	**(107,864)**	**4,297,356**	**7,788,794**	**(291,232)**	**(316,315)**	**(343,592)**	**(373,260)**	**(405,529)**
Refinancing Proceeds	–	–	–	4,429,995	8,036,975	–	–	–	–	–
Less: Principal Repayments	–	(40,380)	(107,864)	(132,639)	(248,181)	(291,232)	(316,315)	(343,592)	(373,260)	(405,529)
Net Change in Cash	**11,708,860**	**4,960,541**	**2,679,813**	**5,825,236**	**8,978,137**	**1,079,418**	**1,320,436**	**1,520,583**	**1,681,125**	**37,160,452**
Free Cash Flow										
Net Cash from Operating Activities	58,860	300,921	837,677	1,527,880	1,189,343	1,370,650	1,636,750	1,864,175	2,054,385	2,198,505
Less: Capital Expenditures (FF&E)	(16,519)	(174,690)	(409,915)	(521,908)	(574,698)	(620,357)	(661,857)	(699,127)	(728,260)	(752,481)
Free Cash Flow (FCF)	**42,341**	**126,231**	**427,762**	**1,005,972**	**614,645**	**750,293**	**974,893**	**1,165,048**	**1,326,124**	**1,446,024**
Less: Principal Payments	–	(40,380)	(107,864)	(132,639)	(248,181)	(291,232)	(316,315)	(343,592)	(373,260)	(405,529)
Free Cash Flow to Equity (FCFE)	**42,341**	**85,851**	**319,898**	**873,332**	**366,464**	**459,062**	**658,579**	**821,456**	**952,865**	**1,040,495**
Key Metrics										
DSCR (Debt Service Coverage)	–	3.40x	3.04x	3.59x	1.95x	1.98x	2.17x	2.33x	2.45x	2.53x
Cash-on-Cash Return	0.2%	0.5%	1.7%	4.8%	2.0%	2.5%	3.6%	4.5%	5.2%	5.7%
FCF Margin	37.8%	12.2%	15.2%	25.6%	11.5%	12.5%	15.0%	16.9%	18.5%	19.6%
FCFE Margin	37.8%	8.3%	11.4%	22.2%	6.8%	7.6%	10.1%	11.9%	13.3%	14.1%

Consolidated Cash Flow — Trends

L+B Hospitality Management — Consolidated Portfolio



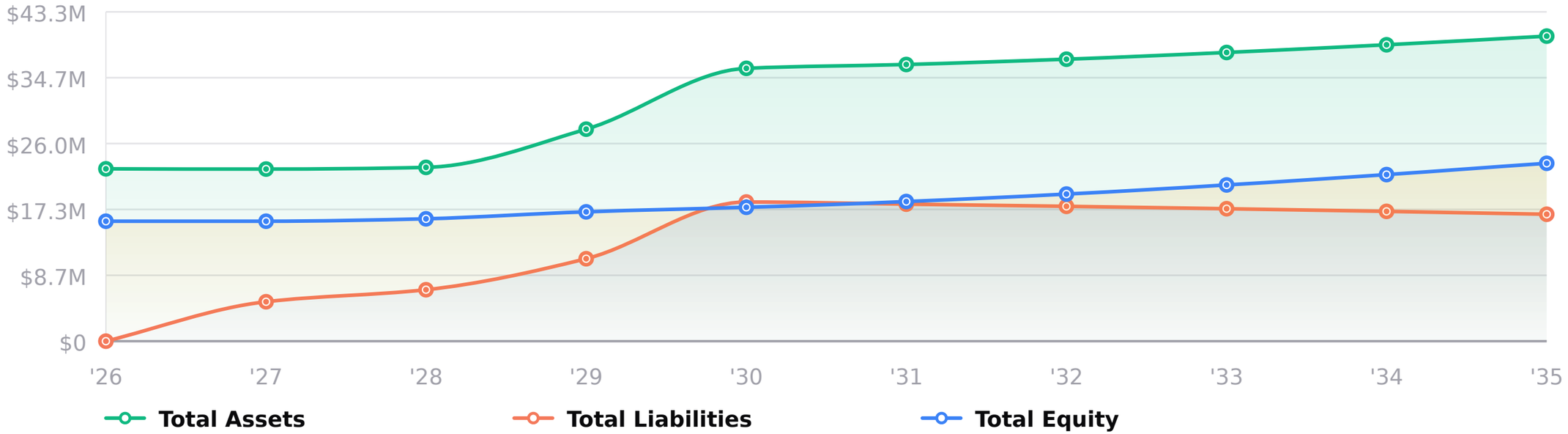
Consolidated Balance Sheet

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
ASSETS										
Current Assets										
Cash & Cash Equivalents	2,685,630	3,024,163	3,869,929	9,743,352	18,751,936	19,872,609	21,220,204	22,765,849	24,460,919	26,268,333
Total Current Assets	**2,685,630**	**3,024,163**	**3,869,929**	**9,743,352**	**18,751,936**	**19,872,609**	**21,220,204**	**22,765,849**	**24,460,919**	**26,268,333**
Fixed Assets										
Property, Plant & Equipment	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000	21,900,000
Less: Accumulated Depreciation	(91,515)	(470,788)	(1,063,152)	(1,655,515)	(2,247,879)	(2,840,242)	(3,432,606)	(4,024,970)	(4,617,333)	(5,209,697)
Net Fixed Assets	**21,808,485**	**21,429,212**	**20,836,848**	**20,244,485**	**19,652,121**	**19,059,758**	**18,467,394**	**17,875,030**	**17,282,667**	**16,690,303**
Other Assets										
Deferred Financing Costs	–	–	–	137,010	385,576	385,576	385,576	385,576	385,576	385,576
TOTAL ASSETS	**24,494,115**	**24,453,375**	**24,706,778**	**30,124,847**	**38,789,633**	**39,317,943**	**40,073,174**	**41,026,456**	**42,129,162**	**43,344,213**
LIABILITIES										
Long-Term Liabilities										
Mortgage Notes Payable	–	5,609,620	7,301,756	11,736,122	19,773,482	19,482,250	19,165,936	18,822,343	18,449,084	18,043,555
Total Liabilities	**–**	**5,609,620**	**7,301,756**	**11,736,122**	**19,773,482**	**19,482,250**	**19,165,936**	**18,822,343**	**18,449,084**	**18,043,555**
EQUITY										
Paid-In Capital	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Retained Earnings	(1,255,885)	(1,256,245)	(894,978)	88,725	716,151	1,535,692	2,607,239	3,904,113	5,380,078	7,000,658
Total Equity	**17,044,115**	**17,043,755**	**17,405,022**	**18,388,725**	**19,016,151**	**19,835,692**	**20,907,239**	**22,204,113**	**23,680,078**	**25,300,658**
TOTAL LIABILITIES & EQUITY	**17,044,115**	**22,653,375**	**24,706,778**	**30,124,847**	**38,789,633**	**39,317,943**	**40,073,174**	**41,026,456**	**42,129,162**	**43,344,213**
Balance Check (Assets − L&E)	7,450,000	1,800,000	(0)	(0)	(0)	(0)	–	–	0	(0)

Consolidated Balance Sheet — Trends

L+B Hospitality Management — Consolidated Portfolio



Key Performance Metrics

L+B Hospitality Management — Consolidated Portfolio

$18.3M
Total Initial Equity

$35.4M
Total Exit Value

20.9%
Portfolio IRR (%)
Overall investment performance

2.59x
Equity Multiple
Return on initial equity

6.1%
Cash-on-Cash Return (%)
Annual cash income yield

Investment Analysis

L+B Hospitality Management — Consolidated Portfolio

	FY 2026	FY 2027	FY 2028	FY 2029	FY 2030	FY 2031	FY 2032	FY 2033	FY 2034	FY 2035
Investment Summary										
Total Initial Equity	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000	18,300,000
Total Exit Value	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477	35,367,477
Portfolio IRR (%)	20.9%	20.9%	20.9%	20.9%	20.9%	20.9%	20.9%	20.9%	20.9%	20.9%
Equity Multiple	2.59x	2.59x	2.59x	2.59x	2.59x	2.59x	2.59x	2.59x	2.59x	2.59x
Cash-on-Cash Return (%)	6.1%	6.1%	6.1%	6.1%	6.1%	6.1%	6.1%	6.1%	6.1%	6.1%
Total Properties	6	6	6	6	6	6	6	6	6	6
Total Rooms	120	120	120	120	120	120	120	120	120	120